

CORPORATE MERGER & ACQUISITION LEGAL CASE

Due Diligence & Transaction Advisory — Legal Report

Matter Number:	CORP/MA/2025/0017
Transaction:	Acquisition of GreenTech Pvt. Ltd. by SolarMax Corp Ltd.
Acquirer:	SolarMax Corp Ltd. (BSE Listed), Mumbai
Target Company:	GreenTech Pvt. Ltd., Hyderabad
Deal Value:	Rs. 120 Crores (Enterprise Value)
Deal Structure:	100% Share Purchase — Cash + Stock (70:30)
Stage:	Due Diligence Completed — Negotiating SPA
Priority:	HIGH — Board approval needed by April 30
Closing Target:	June 30, 2025
Lead Counsel:	Adv. Rahul Nair, M&A Practice Head

1. TRANSACTION OVERVIEW

SolarMax Corp Ltd., a listed renewable energy company, intends to acquire 100% shareholding of GreenTech Pvt. Ltd., a Hyderabad-based solar panel manufacturer with patented thin-film solar technology. The acquisition will give SolarMax proprietary manufacturing technology, 3 manufacturing plants, 450 employees, and contracts worth Rs. 380 crores over the next 5 years. Post-acquisition, GreenTech will be merged into SolarMax as a wholly-owned subsidiary within 18 months.

2. DUE DILIGENCE FINDINGS — KEY ISSUES

Legal due diligence has revealed the following issues requiring resolution before closing: (1) CRITICAL: GreenTech has 3 pending patent disputes with a Chinese manufacturer — potential liability of Rs. 8 crores; (2) HIGH: One manufacturing plant (Unit 3, Hyderabad) has expired environmental clearance — must be renewed before closing; (3) HIGH: 2 key employees (CTO and Head of R&D;) have no non-compete agreements — risk of talent loss post-acquisition; (4) MEDIUM: GreenTech has Rs. 12 crores in contingent tax liability (GST dispute under appeal); (5) MEDIUM: 4 customer contracts have change-of-control clauses requiring consent.

3. SHARE PURCHASE AGREEMENT — KEY NEGOTIATION POINTS

Currently negotiating the following SPA terms: (1) REPRESENTATIONS & WARRANTIES: Seller to provide 3-year R&W; coverage with cap at 30% of deal value; (2) INDEMNIFICATION: Rs. 15 crore escrow holdback for 18 months for any undisclosed liabilities; (3) CONDITIONS PRECEDENT: Environmental clearance renewal, patent dispute settlement, customer consent letters; (4) EARNOUT: Rs. 10 crore additional payment if GreenTech achieves Rs. 80 crore revenue in FY 2025-26; (5) NON-COMPETE: Promoters to be bound for 4 years post-closing within renewable energy sector in India.

4. REGULATORY APPROVALS REQUIRED

The following regulatory clearances must be obtained: (1) Competition Commission of India (CCI) — filing required as combined turnover exceeds threshold; expected 30-45 days; (2) SEBI approval — as

SolarMax is listed, open offer may be triggered under SEBI SAST Regulations 2011; (3) Ministry of New & Renewable Energy — sectoral approval for transfer of government contracts; (4) Pollution Control Board — fresh environmental clearance for Unit 3; (5) RBI approval — for foreign investor SolarMax shareholders receiving shares of Indian target.

5. CRITICAL DEADLINES & ACTION ITEMS

IMMEDIATELY REQUIRED: (1) File CCI notification by April 10, 2025 — mandatory; (2) Instruct GreenTech to apply for environmental clearance renewal by April 5; (3) Execute NDA + Employment agreements with CTO and Head of R&D; by April 12; (4) Send change-of-control consent requests to 4 customers by April 8; (5) Obtain board resolutions from both companies by April 30; (6) Complete SPA negotiations and signing by May 15, 2025; (7) Achieve financial close by June 30, 2025.

DUE DILIGENCE RISK MATRIX

Issue	Risk Level	Estimated Liability	Mitigation
Patent Disputes (3)	CRITICAL	Rs. 8 Cr	Escrow + Indemnity
Env. Clearance Expired	HIGH	Rs. 3 Cr fine	Renew before close
No Non-Compete (CTO/RD)	HIGH	Rs. 20 Cr+ talent loss	Execute agreements
GST Liability (Appeal)	MEDIUM	Rs. 12 Cr	Tax Indemnity in SPA
Change of Control Clauses	MEDIUM	Contract loss	Customer consent